

Manappuram Home Finance Limited

October 08, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	2,448.00 (Enhanced from 1,748.00)	CARE AA-; Stable	Reaffirmed
Short-term bank facilities	RBI	2.00	CARE A1+	Reaffirmed
Non-convertible debentures	SEBI	80.69 (Reduced from 102.72)	CARE AA-; Stable	Reaffirmed
Non-convertible debentures	SEBI	100.00	CARE AA-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of ratings to bank facilities and debt instruments of Manappuram Home Finance Limited (MHFL) continues to derive comfort from its status as a wholly owned subsidiary of Manappuram Finance Limited (MAFIL; rated 'CARE AA; Stable / CARE A1+'), and benefits arising from being part of the Manappuram group, including shared brand name, managerial, financial, and operational support. Ratings continue to factor in MHFL's comfortable capitalisation levels supported by capital infusion by the parent company.

However, ratings remain constrained by the relatively weaker credit profile of MHFL's borrower segment, which is also reflected from its elevated proportion of stressed assets. Ratings are also tempered by MHFL's limited track record and seasoning of its loan portfolio, geographically concentrated operations, modest profitability metrics, and concentrated resource profile.

Considering the strategic importance of housing finance business to the Manappuram group, CARE Ratings Limited (CareEdge Ratings) expects continued capital and operational support from MAFIL in the future.

CareEdge Ratings has withdrawn ratings of 'CARE AA-; Stable' assigned to the non-convertible debenture (NCD) (ISIN: INE360T07082) with immediate effect due to redemption of NCD on due date. This action has been taken due to full redemption of the NCD and 'No Due Certificate/Confirmation' received from the debenture trustees.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could individually or collectively lead to positive rating action/upgrade:

- Improvement in credit profile of the parent company (MAFIL).
- Increase in scale of operations accompanied by a reduction in net stressed assets to net worth.
- Return on total assets (RoTA) remaining over 2% on a sustained basis.

Negative factors - Factors that could individually or collectively lead to negative rating action/downgrade:

- Moderation in credit profile of the parent company (MAFIL) or significant dilution in shareholding / parent support philosophy.
- Increase in gearing levels above 6x.
- Sustained deterioration in asset quality impacting profitability.

Analytical approach: Standalone

CareEdge Ratings has analysed standalone credit profile of MHFL while factoring MHFL's operational, financial, and managerial linkages and its shared brand name with its parent, MAFIL.

Outlook: Stable

The stable outlook reflects expectation of continued operational and financial support from its parent, MAFIL, and benefits from being part of the MAFIL group, which shall help the entity scale up by leveraging the existing branch network of the parent.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Parentage of MAFIL and benefits of being part of the Manappuram group

MHFL derives support from MAFIL in the form of a shared brand name, management and operations oversight, including colocation of branches, extension of credit line from the parent and capital support. V P Nandakumar, MD of MAFIL, is also a board member of MHFL, which benefits from its parent's large branch network of 5,000+ branches on a consolidated basis, and with some branches being co-located with MAFIL.

Since its acquisition in March 2014, MAFIL has infused equity capital of ₹400 crore in MHFL (initial capital infusion of ₹100 crore) done in tranches, additional infusion of ₹100 crore in FY19, ₹50 crore in FY25 and ₹150 crore in Q1FY27. MAFIL also further extended the working capital demand loan (WCDL) of ₹150 crore for 10 years (from June 2021) to MHFL to meet its obligations in case required.

Adequate capitalisation supported by periodic capital infusion by the parent

MHFL has been reporting adequate capitalisation levels over the years. MHFL reported capital adequacy ratio (CAR) and Tier-I CAR 27.98% (PY: 27.82%) and 27.38% (PY: 27.44%), respectively, as on March 31, 2026, against minimum regulatory requirement of 15% for CAR and 10% for Tier-I CAR.

As on June 30, 2026, CAR stood at 40.01% and Tier-I CAR stood at 39.14% and overall gearing stood at 2.89x (March 31, 2026: 4.28x).

CareEdge Ratings expects that the parent company would continue this support in the form of capital infusion to MHFL going forward, as required, while maintaining overall gearing below 6x on a steady state basis.

Key weaknesses

Moderate profitability

MHFL went slow on disbursements in FY26 which were ~₹471 crore, compared to disbursement of ~₹641 crore in FY25. The company's interest income increased by ~8% from ₹306 crore in FY25 to ₹330 crore in FY26. Its interest expense increased by ~11% from ₹147 crore in FY25 to ₹164 crore in FY26. As a result, the company's net interest margin (NIM) was impacted and was at 8.57% in FY26 against 8.91% in FY25. The company's non-interest income for FY26 was ₹3 crore compared to negative contribution of ₹2 crore in FY25. The company sold assets to asset reconstruction company (ARC) and incurred loss of ~₹30 crore (PY: ~₹10 crore), which was partly off-set in gain on direct assignment (DA) of ~₹24 crore (PY: nil) apart from increase in fee-based income. As a result, the company's pre-provision operating profit (PPOP) increased by 38% in FY26. Credit cost increased from 0.17% in FY25 to 0.39% in FY26. Due to these factors, the bank reported a profit after tax (PAT) of ₹28 crore in FY26 against ~₹23 crore in FY25. Thus, MHFL's return on total assets (RoTA) stood at 1.46% in FY26 compared to 1.28% in FY25.

Driven by lower interest income and higher provision due to revision in Expected Credit Loss (ECL) model, MHFL reported a PAT of ~₹1 crore on a total income of ₹79 crore in Q1FY27 against PAT of ~₹7 crore on a total income of ₹89 crore in Q1FY26. Thus, RoTA stood at 0.29% (annualised) against 1.48% in Q1FY26.

Moderate asset quality

MHFL primarily caters to housing finance needs of self-employed customers in the informal low-and middle-income segments, who are generally not serviced by the banking sector. Since this segment is highly susceptible to the impact of economic downturn and the macroeconomic environment, asset quality remains relatively weak. The company's gross non-performing assets (GNPA) ratio increased to 2.80% as on March 31, 2026, against 2.63% as on March 31, 2025 and net NPA (NNPA) ratio also increased to 2.05% as on March 31, 2026, against 1.95% as on March 31, 2025. MHFL sold ~₹145 crore of stressed loans to ARCs in FY26 compared to ₹49 crore in FY25.

The company reported increase in slippages and lower collection efficiency with stress witnessed in Karnataka, Kerala, and Tamil Nadu in FY26. The GNPA ratio and NNPA ratio increased to 2.89% and 2.21% as on June 30, 2026. The company has taken measures to focus on collections and expects to improve collection efficiency and reduce delinquencies. CareEdge Ratings will continue to monitor the company's ability to manage its asset quality inclusive of its stressed assets would remain critical.

Limited track record and portfolio seasoning

MHFL's operational track record is only 10 years, as the company started its disbursements since January 2015, resulting in lower portfolio and seasoning given the long-term nature of housing loans, resilience of which is yet to be established through different economic cycles. The company witnessed reduction in net advances by ~6% in FY26 from ₹1,834 crore as on March 31, 2025, to ₹1,720 crore as on March 31, 2026, as the company went slow on disbursements of loans while focusing on maintaining the asset quality with focus on higher ticket loans. The scale of operations continues to be small. As on June 30, 2026, loan portfolio stood at ₹1,684 crore with 68.2% in the home loan segment and 31.4% in loan against property (LAP) segment and balance in gold loan segment.

Geographically concentrated portfolio

MHFL has expanded its presence to 89 branches within 12 states as on March 31, 2026. The company's loan portfolio remained geographically concentrated. Karnataka continues to be the top concentrated state, with 29% of loan portfolio as on June 30, 2026. Top three states, Karnataka, Maharashtra, and Andhra Pradesh, accounted for 60% of loan portfolio as on June 30, 2026.

Concentrated resource profile

Though MHFL has exhibited gradual diversification in its resource profile, it continues to remain concentrated. As on June 30, 2026, 84% of the borrowing was through term loan from banks (including CC/WCDL). Other borrowings include National Housing Bank (NHB) and borrowings from NBFCs, which form ~14% of borrowings each as on June 30, 2026, while borrowings from NCDs account for ~2%. MHFL derives benefits from being a subsidiary of MAFIL, which enables the company to form liability relationships with an increased number of banks, while also providing access to capital markets.

Liquidity: Adequate

Per the asset liability maturity (ALM) profile as on March 31, 2026, there were no negative cumulative mismatches up to one year bucket. MHFL's liquidity profile is largely supported by a line of credit of ₹150 crore from its parent company, MAFIL, as on June 30, 2026. The company also had undrawn term loans and CC/WCDL lines of ~₹276 crore from banks as on June 30, 2026.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

[Definition of Default](#)

[Factoring Linkages Parent Sub JV Group](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

[Short Term Instruments](#)

[Withdrawal Policy](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

MHFL is a housing finance company engaged in affordable housing segment. As part of the business diversification process, MAFIL acquired Milestone Home Finance Company Private Limited in February 2014. The company's name was subsequently changed to Manappuram Home Finance Private Limited and a revised Certificate of Registration from NHB was obtained in September 2014. MHFL is a wholly owned subsidiary of MAFIL. MHFL started its lending operations from January 2015, and is active in the affordable housing finance segment. As on March 31, 2026, MHFL had an assets under management (AUM) of ₹1,852 crore.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	304	333	79
Profit after tax (PAT)	23	28	1
Assets under management (AUM)	1,854	1,852	1,847
On-book gearing (x)	4.86	4.28	2.89
AUM / tangible net-worth (TNW) (x)	5.68	4.91	3.43
Gross non-performing assets (NPA) (%)	2.63	2.80	2.89
Return on managed assets (ROMA) (%)	1.28	1.41	0.28*
Capital adequacy ratio (CAR) (%)	27.82	27.98	40.01

A: Audited; UA: Unaudited; Note: these are latest available financial results, *annualised

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non-convertible debentures (proposed)	SEBI	Simple	NA	-	-	-	80.69	CARE AA-; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE360T07082	04-Nov-2019	10.65	07-Sep-2026	0.00	Withdrawn
Debentures-Non-convertible debentures (proposed)	SEBI	Simple	NA	-	-	-	100.00	CARE AA-; Stable

Fund-based-Long Term	RBI	Simple	-		-	-	2448.00	CARE AA-; Stable
Fund-based-Short Term	RBI	Simple	-		-	-	2.00	CARE A1+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-Long Term	LT	2448.00	CARE AA-; Stable	-	1)CARE AA-; Stable (12-Jan-26) 2)CARE AA-; Stable (23-Oct-25)	1)CARE AA-; Stable (25-Feb-25) 2)CARE AA-; Stable (07-Oct-24) 3)CARE AA-; Stable (05-Jul-24)	1)CARE AA-; Stable (29-Jan-24) 2)CARE AA-; Stable (27-Sep-23)
2	Debentures-Non-convertible debentures	LT	80.69	CARE AA-; Stable	-	1)CARE AA-; Stable (12-Jan-26) 2)CARE AA-; Stable (23-Oct-25)	1)CARE AA-; Stable (25-Feb-25) 2)CARE AA-; Stable (07-Oct-24) 3)CARE AA-; Stable (05-Jul-24)	1)CARE AA-; Stable (29-Jan-24) 2)CARE AA-; Stable (27-Sep-23)
3	Debentures-Non-convertible debentures	LT	100.00	CARE AA-; Stable	-	1)CARE AA-; Stable (12-Jan-26) 2)CARE AA-; Stable (23-Oct-25)	1)CARE AA-; Stable (25-Feb-25) 2)CARE AA-; Stable (07-Oct-24) 3)CARE AA-; Stable (05-Jul-24)	1)CARE AA-; Stable (29-Jan-24) 2)CARE AA-; Stable (27-Sep-23)
4	Debentures-Market Linked Debentures	LT	-	-	-	-	1)Withdrawn (25-Feb-25) 2)CARE PP-MLD AA-; Stable	1)CARE PP-MLD AA-; Stable (29-Jan-24)

							(07-Oct-24) 3)CARE PP-MLD AA-; Stable (05-Jul-24)	2)CARE PP-MLD AA-; Stable (27-Sep-23)
5	Fund-based-Short Term	ST	2.00	CARE A1+	-	1)CARE A1+ (12-Jan-26) 2)CARE A1+ (23-Oct-25)	1)CARE A1+ (25-Feb-25)	-

LT: Long term; ST: Short term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Analytical Contacts Vineet Jain Senior Director CARE Ratings Limited Phone: +91 22 6754 3623 E-mail: vineet.jain@careedge.in
Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Priyesh Ruparelia Director CARE Ratings Limited Phone: +91 22 67543593 E-mail: Priyesh.ruparelia@careedge.in Aditya R Acharekar Associate Director CARE Ratings Limited Phone: +91 22 67543528 E-mail: aditya.acharekar@careedge.in

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